ENIAC · DISCOUNT ANALYSIS

Eniac's Discount Strategy



Team Discount Detectives

Walter · Miguel · Tim

Do Eniac's discounts pay off?

Marketing

Do discounts drive revenue?

Board of Directors

Do discounts cost us revenue and reputation?

Colors for: Revenue Discount

Do Eniac's discounts pay off?

1 **Do discounts drive revenue?**

2 Do discounts cost us revenue and reputation?

SUB-QUESTION 1 · OUR DATA

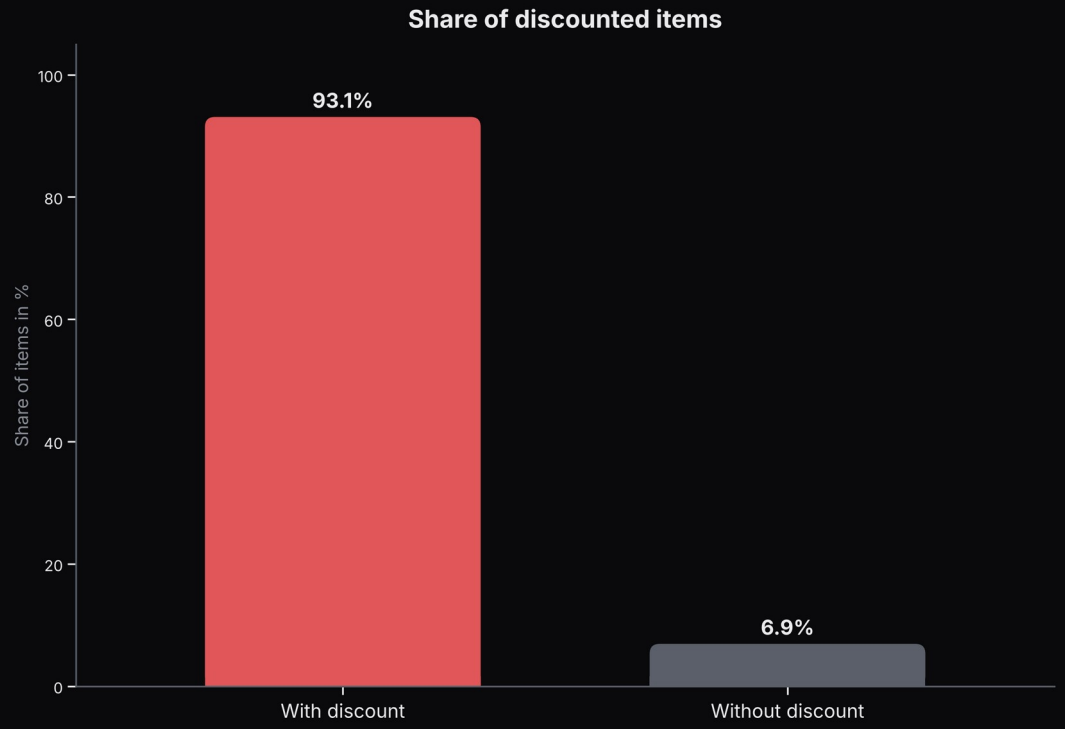
All completed orders from January 2017 to March 2018

437
days

46,605
orders

15.9
€ million revenue

Discounts are standard: 93% of all items are discounted

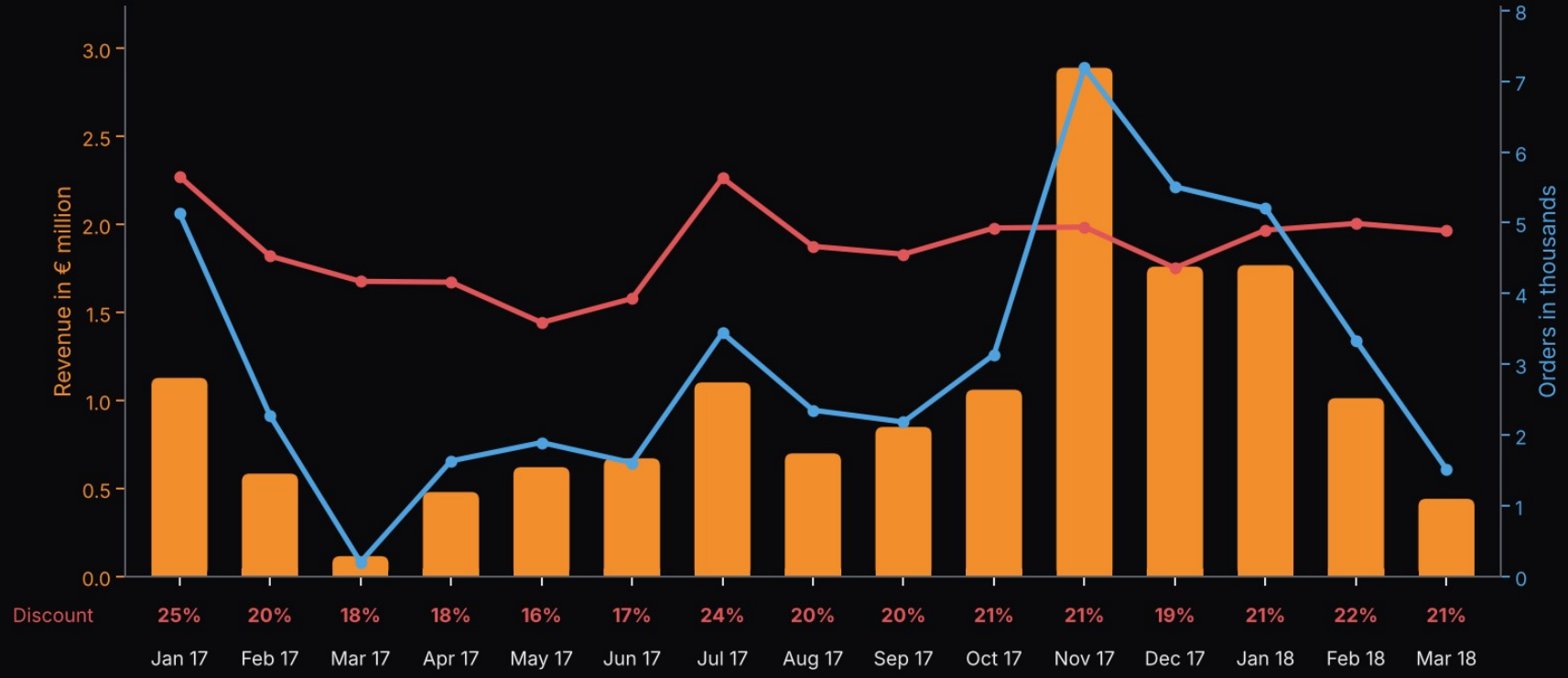


56,203

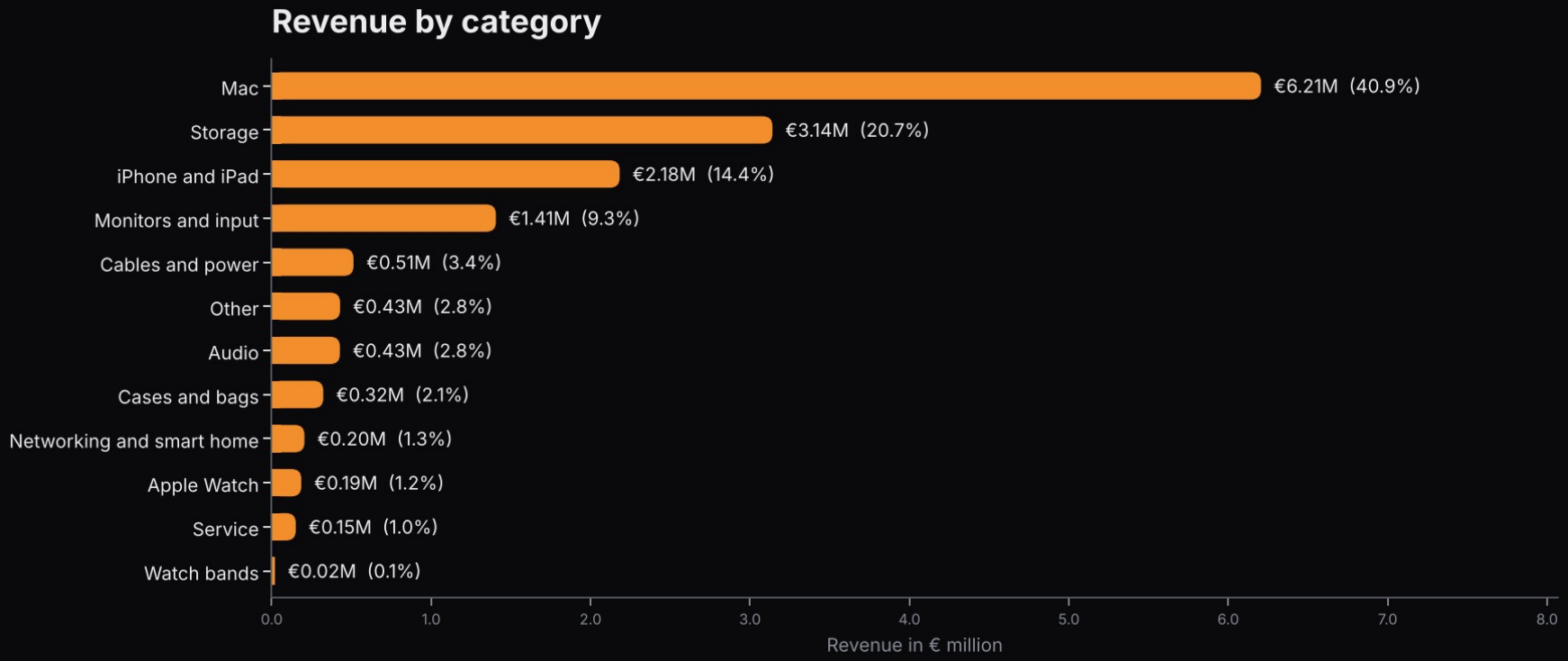
of 60,375 items
were sold at a discount

Monthly trend: revenue, orders and discount % AVG

NOVEMBER 2017
€2.89M revenue
7,189 orders
21.5% avg. discount



Macs bring in 41% of revenue



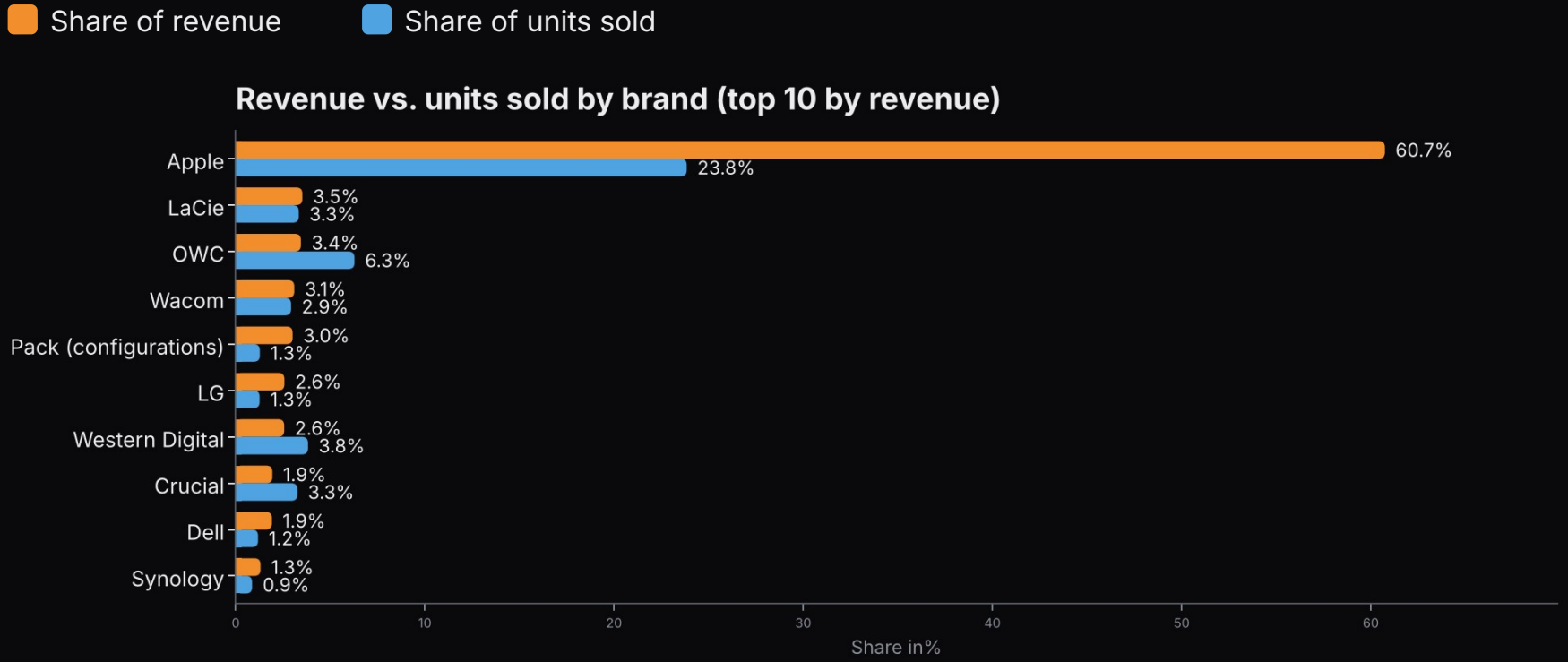
Do Eniac's discounts pay off?

1 Do discounts drive revenue?

Yes, but not everywhere.

2 **Do discounts cost us revenue and reputation?**

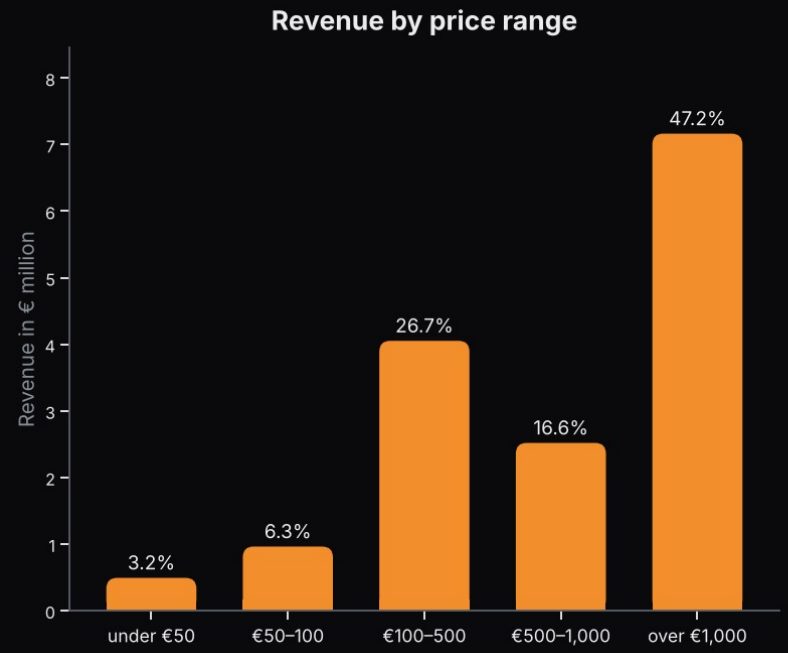
Apple is expensive, accessories are cheap



SUB-QUESTION 2 · WHERE ARE DISCOUNTS HIGHEST?

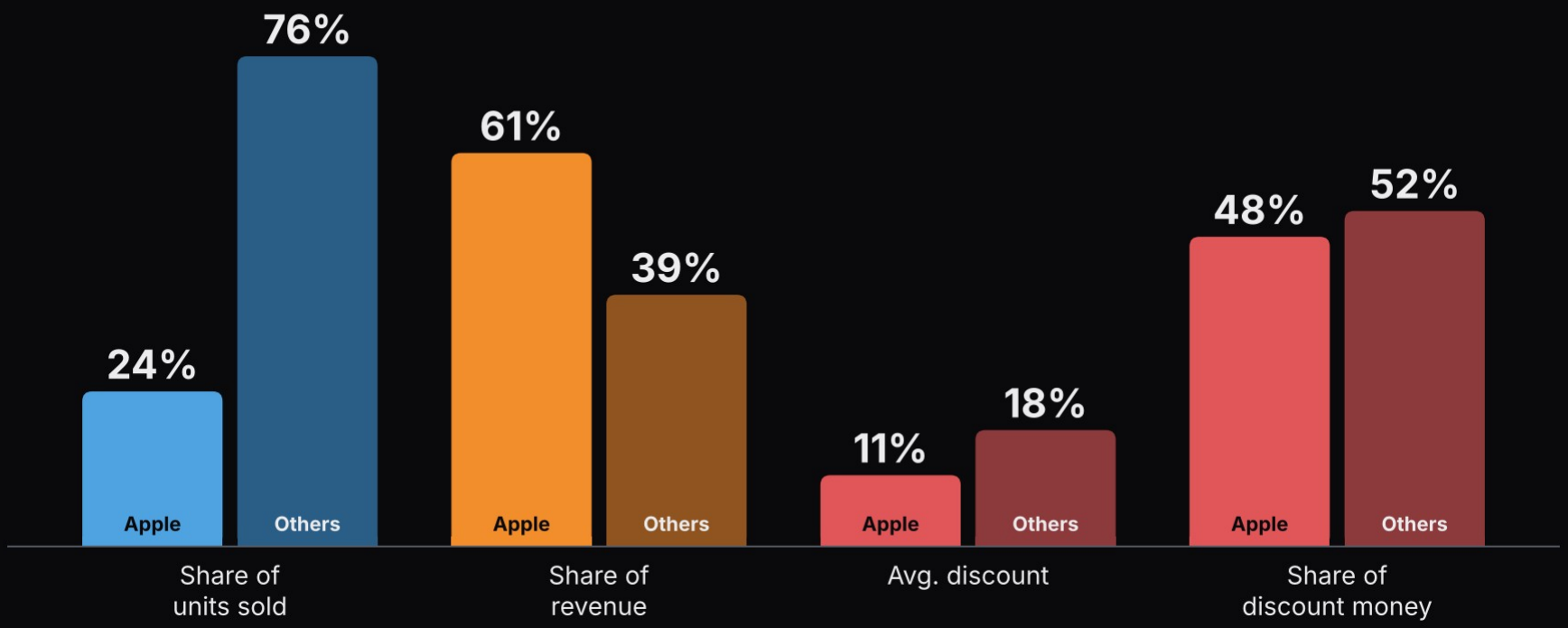
The highest discounts go where the least revenue is made

Revenue Avg. discount





Apple: lower discount rate, but almost half of all discount money



Do Eniac's discounts pay off?

1 Do discounts drive revenue?

Yes, but not everywhere.

2 Do discounts cost us revenue and reputation?

Not our reputation, but money in the wrong place.

Do Eniac's discounts pay off?

We're not losing money.

But we're missing out on money we could be earning.

OUR RECOMMENDATION

1

Lower the Apple discount

2

Target discounts at other brands

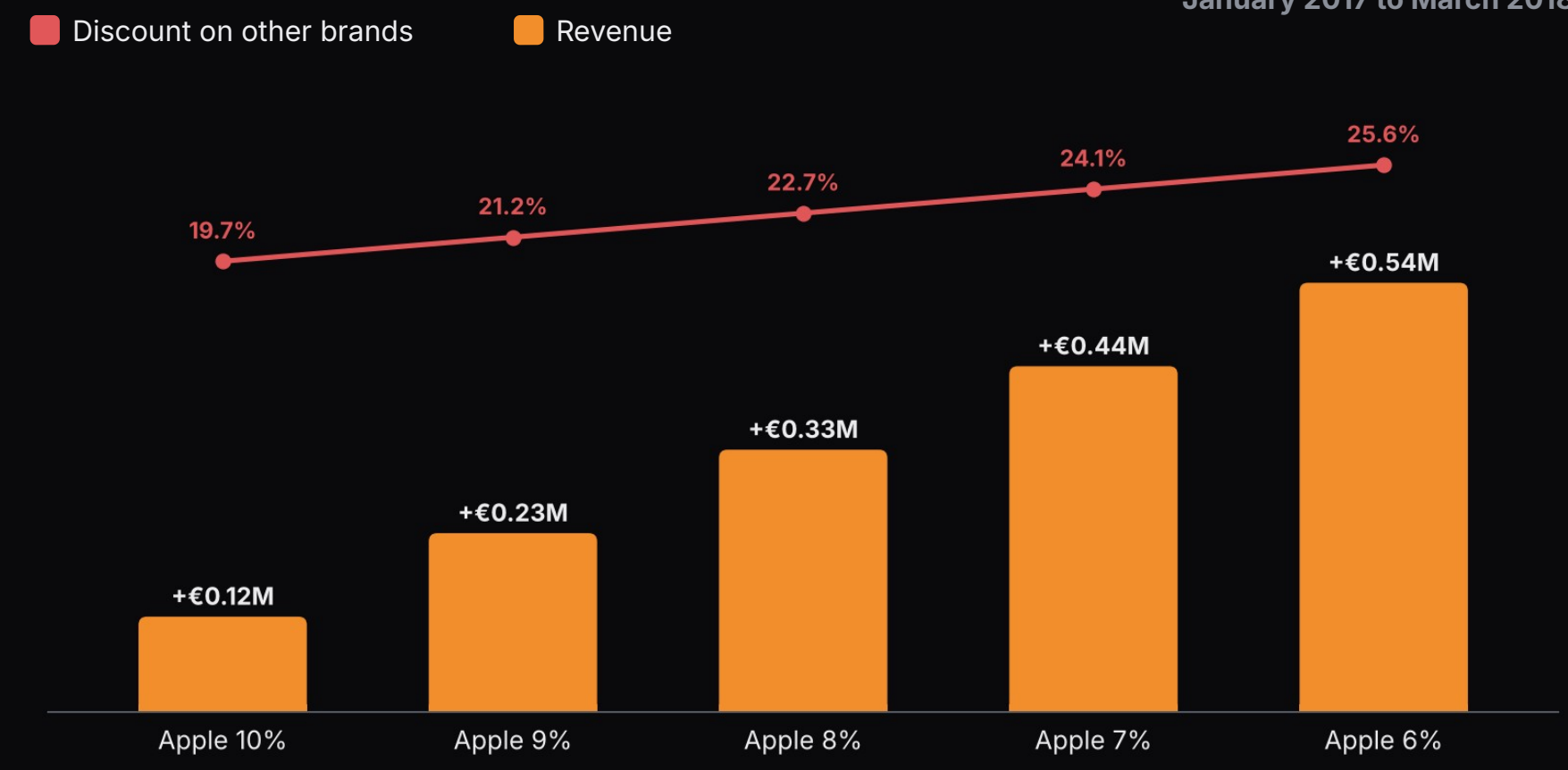
3

Manage discounts by season

OUR RECOMMENDATION · SHIFT THE DISCOUNT

EXAMPLE CALCULATION

January 2017 to March 2018



Thank you for your attention



Team Discount Detectives

Walter · Miguel · Tim

APPENDIX

Prepared for your questions

A1	**What research says**	Three studies on discounts, brands and trust
A2	**Apple discount calculation**	€105,000 per percentage point and a 4.5% buffer
A3	**Limits of our data**	Cleaning, purchase prices, customer ID
A4	**Margin scenarios**	Loss-making sales at 10, 20 or 30% margin
A5	**Discount by category**	In percent and in euros
A6	**Revenue over the year**	Monthly revenue by category
A7	**Discount money by brand**	Discount in euros for the top 10 brands by revenue

Infrequent discounts protect the brand

Yoo, Donthu and Lee (2000)

Trust matters more than the lowest price

Smith and Brynjolfsson (2001)

Repeat customers pay more

Berends and Gerpott (2025)

REFERENCES

Berends, J., & Gerpott, T. J. (2025). Exploring price tolerance in online retail: A comparative analysis of price comparison website use and repeat purchases. *Electronic Commerce Research, 25*(4), 3165–3185. https://doi.org/10.1007/s10660-023-09791-5 (published online 2023)

Smith, M. D., & Brynjolfsson, E. (2001). Consumer decision-making at an Internet shopbot: Brand still matters. *The Journal of Industrial Economics, 49*(4), 541–558. https://doi.org/10.1111/1467-6451.00162

Yoo, B., Donthu, N., & Lee, S. (2000). An examination of selected marketing mix elements and brand equity. *Journal of the Academy of Marketing Science, 28*(2), 195–211. https://doi.org/10.1177/0092070300282002

Even with 4.5% fewer Apple sales, we don't lose revenue

105,000

€ per percentage point of Apple discount

0.44

€ million more revenue at 7% instead of 11% discount

4.5%

buffer in Apple sales

Basis: €10.5M Apple revenue at list prices, 11.1% avg. discount today, same unit sales assumed

TEST PLAN

What	When	Comparison	Success
iPads at 7% instead of 11% discount	6 weeks, not in November	Same weeks of the previous year	Less than 4.5% decline: roll out

What we had to clean and what is missing

226,909 → 46,605

orders after cleaning

19,326 → 9,992

products in the catalog

No purchase prices

Margins can only be estimated

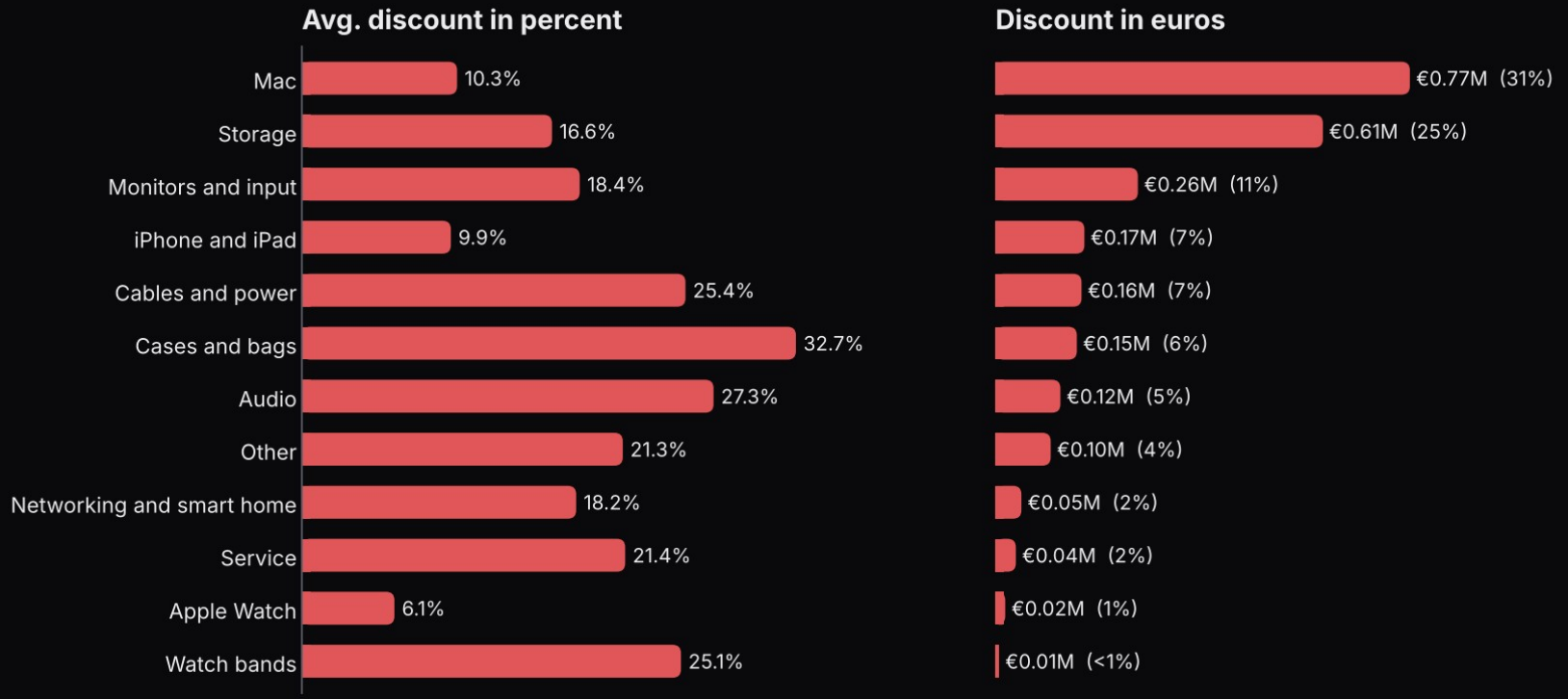
- Completed orders only
- Prices stored as text with several dots, e.g. 1.137.99
- Order totals don't match the line items
- Products missing from the catalog, and duplicates
- No customer ID: new customers and loyalty cannot be measured

Share of sales with a discount above the margin, i.e. loss-making sales

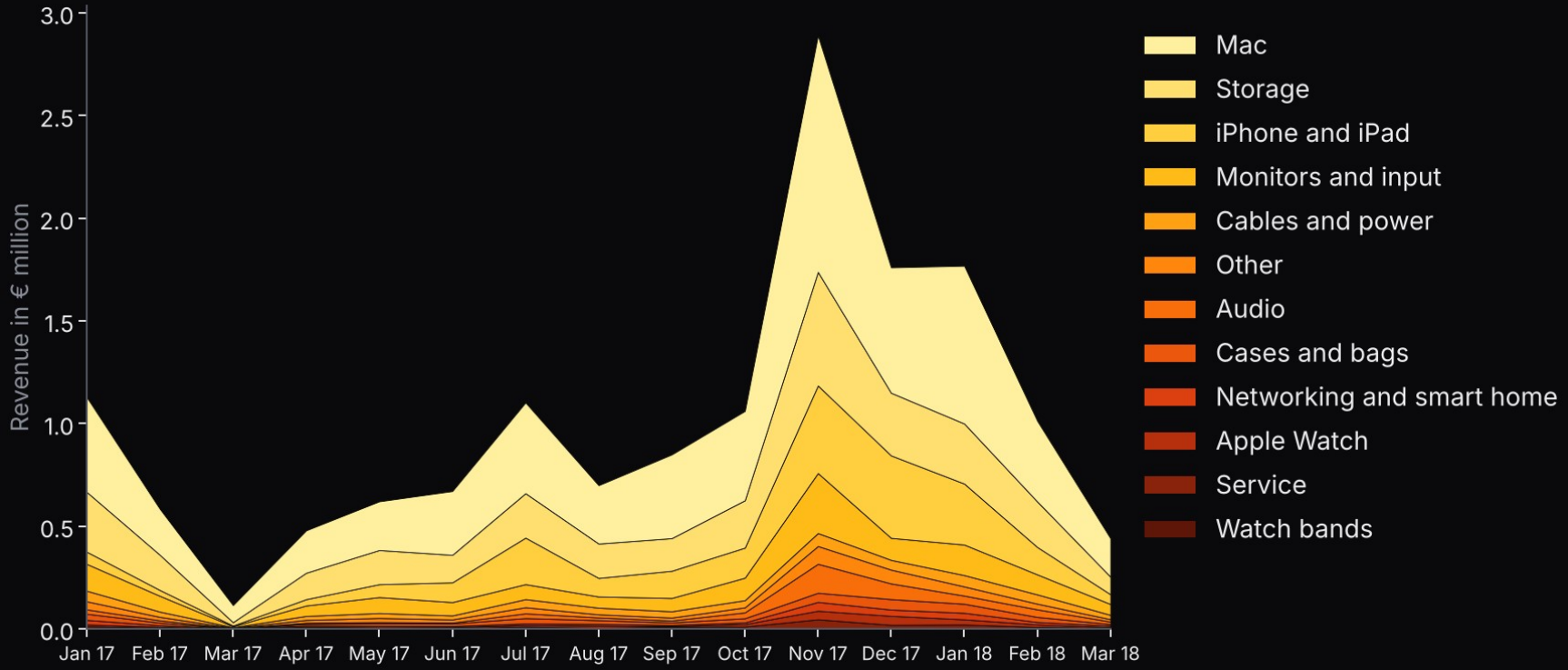
Category	Revenue share	at 10% margin	at 20% margin	at 30% margin
Mac	40.9%	35%	11%	3%
Storage	20.7%	70%	34%	10%
iPhone and iPad	14.4%	46%	10%	3%
Monitors and input	9.3%	65%	38%	17%
Cases and bags	2.1%	89%	68%	45%

Purchase prices and margins are not in the dataset. The columns are scenarios, not an assumption about Eniac's actual margin.

Macs: a low discount rate, but the largest amount in euros



Macs lead in every month



Almost half of all discount money goes to Apple

Discount in euros

